

3. Economic objectives and the role of government

Topic	Learners should be able to
3.1 Economic growth	• explain what is meant by economic growth • calculate and explain how economic growth is measured with reference to Gross Domestic Product (GDP) and GDP per capita • analyse recent and historical GDP data • analyse the determinants of economic growth, including investment, changes in technology, size of workforce, education and training, availability of natural resources and government policies • evaluate the costs and benefits of economic growth, including the impact on economic, social and environmental sustainability
3.2 Low unemployment	• explain what is meant by employment and unemployment • explain how unemployment is measured using the Claimant Count • calculate the unemployment rate • analyse recent and historical unemployment figures • explain the types of unemployment, including cyclical, frictional, seasonal and structural unemployment • evaluate the causes and consequences of unemployment for individuals, regions and the government
3.3 Fair distribution of income	• explain what is meant by the distribution of income, including different types of income and the difference between income and wealth • calculate income and wealth • evaluate the causes of differences in the distribution of income and wealth and the consequences for an economy

<i>Topic</i>	<i>Learners should be able to</i>
3.4 Price stability	- explain what is meant by price stability and inflation, including the difference between real and nominal values - explain how inflation is measured using the Consumer Price Index (CPI) - calculate the effect of inflation on prices - analyse recent and historical inflation figures - evaluate the causes of inflation and the consequences for consumers, producers, savers and the government
3.5 Fiscal policy	- explain purposes of government spending and sources of government revenue, including direct taxes and indirect taxes - explain what is meant by a balanced government budget, budget surplus and budget deficit - explain what is meant by fiscal policy and how it can be used to achieve economic objectives - calculate and analyse how taxes and government spending can affect markets as well as the overall economy - evaluate the costs, including opportunity cost, and the benefits of fiscal policy on the economy to achieve economic objectives - evaluate economic consequences of measures to redistribute income and wealth, including progressive taxes
3.6 Monetary policy	- explain what is meant by monetary policy and how it can be used to achieve economic objectives - analyse how monetary policy can affect growth, employment and price stability - evaluate the effects of monetary policy on consumer spending, borrowing, saving and investment
3.7 Supply side policies	- explain what is meant by supply side policy and how it can be used to achieve economic objectives - evaluate the costs, including opportunity cost, and the benefits of supply side policies for the economy
3.8 Limitations of markets	- explain what is meant by positive and negative externalities - explain government policies to correct positive and negative externalities, including taxation and subsidies, state provision, legislation and regulation and information provision - evaluate the use and impact of government policies to correct positive and negative externalities - evaluate the costs, including opportunity cost, and the benefits of government policies to correct positive and negative externalities.